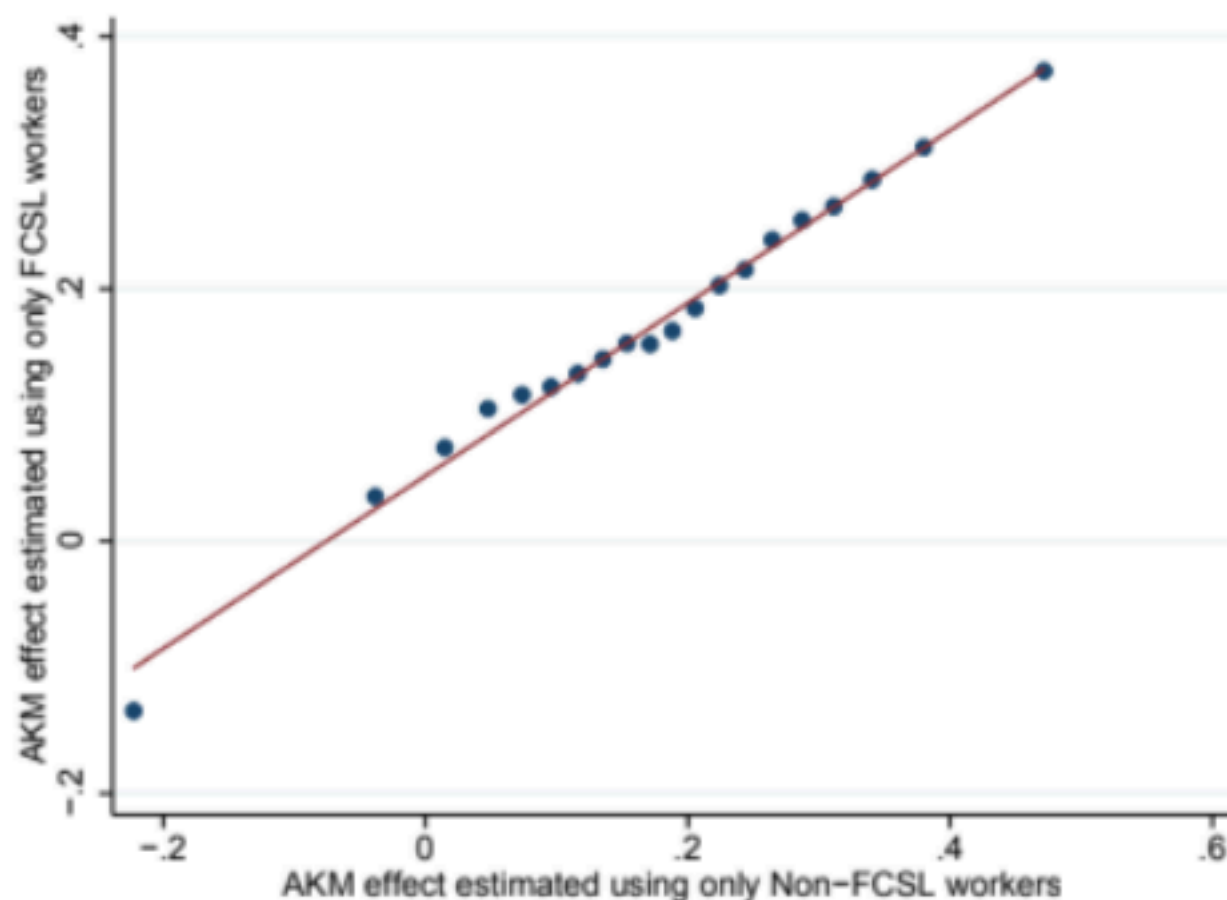


Figure A-8: Comparing Estimated Wage Premia (AKM Effects) based on FCSL and Non-FCSL workers



Notes: The figure shows a binned scatter plot of AKM effects estimated using food, cleaning, security and logistics (FCSL) workers and non-FCSL workers. Both sets of AKM effects are normalized to have a mean of zero in the overall establishment distribution. Each dot corresponds to 1/20th of the observations. Sample is restricted to all German establishments with at least 50 employees. The regression coefficient of the simple regression is 0.68 (SE: 0.0011).

To correct for the downward bias from measurement error, we took all workers who are not in FCSL occupation and divided them into two equal sized random samples (on the worker level, not the employment spell level, so that worker histories stay together). We then estimate the AKM model separately for each sample and keep the predicted establishment FE, call these EFE1 and EFE2. If measurement error of the establishment FE in the AKM model is only due to small sample imprecision or due to measurement error of individual wages where the error is IID across individuals, then the measurement error of EFE1 and EFE2 is uncorrelated. We then regress the predicted AKM effect estimated using FCSL worker only on EFE1, but instrument EFE1 with EFE2. Since the measurement error of EFE1 and EFE2 is uncorrelated given the above assumptions this gives an unbiased estimate for the slope coefficient.

The measurement bias corrected regression coefficient (using split sample IV to correct for measurement error in the RHS variable) is 0.77 (SE: 0.0013). All standard errors clustered on the establishment level.